

ACHELION CAPITAL

ARMS Backtest Performance Report

Architecture AB | 58/20/14/8 | ARMS v4.0

Period: 2024-01-01 to 2025-12-31 | 501 trading days | 26 regime changes

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SCOPE: Market-driven engine only. Intelligence layer disabled. See Methodology & Scope page.

+98.4%	+94.5%	+48.9%	+49.5pp
ARMS Gross	ARMS Net (2%)	S&P 500	vs S&P Gap

Performance Summary

Metric	ARMS Gross	ARMS Net	S&P 500	QQQ	BTC
Cumulative Return	+98.4%	+94.5%	+48.9%	+55.6%	+96.7%
Annualized Return	+41.2%	+39.2%			
Annualized Volatility	23.6%				
Sharpe Ratio	1.58				
Max Drawdown	-20.3%				
2024 Return	+83.6%	+81.6%	+25.6%	+27.7%	+107.8%
2025 Return	+6.7%	+4.7%	+18.9%	+22.0%	-8.7%

Architecture & Costs

Initial Capital	\$500,000,000
Final NAV	\$992,189,169
Total Trades	437
PTRH Net Cost (Tail Hedge)	\$-65,113
PERM Income (Covered Calls)	\$7,762,599
LAEP Slippage (Execution Cost)	\$3,747,277
Avg Equity Allocation	48.0% (target 58%)
Avg Crypto Allocation	13.6% (target 20%)
Avg Defensive Allocation	9.8% (target 14%)
Avg Cash Allocation	28.6% (target 8%)

Regime Breakdown

PDS Status Breakdown

RISK_ON	281 days (56.1%)	NORMAL	303 days (60.5%)
WATCH	220 days (43.9%)	WARNING	34 days (6.8%)
NEUTRAL	0 days (0.0%)	DELEVERAGE_1	91 days (18.2%)
DEFENSIVE	0 days (0.0%)	DELEVERAGE_2	73 days (14.6%)
CRASH	0 days (0.0%)		

Portfolio Tickers & Position Statistics

Architecture AB book used in this replay: 12 equity names, BTC crypto sleeve, and the SGOV/SGOL/DBMF/STRC defensive sleeve. Equity full-risk targets below are derived from static MICS squared weighting inside the 58% equity sleeve; realized trade statistics come directly from the replay trade ledger.

Ticker	Role	MICS	Full Target	Target \$	Trades	Buy \$	Sell \$	Net Flow
TSLA	EV / Energy AI	8	6.21%	\$31.0M	47	\$106.2M	\$134.1M	-\$27.9M
NVDA	AI GPU	9	7.86%	\$39.3M	40	\$114.6M	\$168.0M	-\$53.4M
AMD	AI Compute	7	4.75%	\$23.8M	39	\$86.8M	\$92.9M	-\$6.1M
PLTR	Defense AI	7	4.75%	\$23.8M	34	\$58.2M	\$123.3M	-\$65.1M
ALAB	CXL / PCIe	6	3.49%	\$17.5M	36	\$66.5M	\$96.9M	-\$30.4M
MU	HBM Memory	7	4.75%	\$23.8M	42	\$81.4M	\$122.7M	-\$41.2M
ANET	AI Networking	7	4.75%	\$23.8M	25	\$56.5M	\$68.2M	-\$11.7M
AVGO	Custom ASIC	8	6.21%	\$31.0M	30	\$68.0M	\$105.1M	-\$37.2M
MRVL	Custom Silicon	7	4.75%	\$23.8M	32	\$68.8M	\$78.5M	-\$9.7M
ARM	CPU IP	6	3.49%	\$17.5M	32	\$57.7M	\$69.2M	-\$11.5M
ETN	Power Infra	6	3.49%	\$17.5M	26	\$50.0M	\$52.5M	-\$2.5M
VRT	Cooling / Power	6	3.49%	\$17.5M	31	\$35.2M	\$57.6M	-\$22.4M

Sleeves, Crypto, and Benchmarks

Ticker	Role	Target / Use	Period Return	Avg Weight	Trades	Turnover
BTC	Crypto sleeve	20% target / 2% stress floor	+96.7%	13.6%	21	\$1.62B
SGOV	T-bill reserve	3.0%	-	part of 14%	0	\$0
SGOL	Gold hedge	2.0%	-	part of 14%	2	\$458.4K
DBMF	Managed futures	5.0%	-	part of 14%	0	\$0
STRC	Structured credit	4.0%	-	part of 14%	0	\$0
SPY	Benchmark	S&P 500 comparator	+48.9%	-	0	\$0
QQQ	Benchmark	Nasdaq comparator	+55.6%	-	0	\$0

Net Flow = buy value minus sell/trim value during the replay period. It is a realized execution statistic, not final position value. The full target column shows the book's MICS-derived full-risk allocation before ARAS/PDS/ARES ceilings reduce exposure.

Methodology & Scope

Engine Modules Active in Daily Replay

Market-driven ARMS production modules fired on each trading day of the period. Decisions were made strictly from price, volatility, credit, and macro inputs available as-of date. No look-ahead. No discretionary overrides.

Module	Behavior
Macro Compass	L2 4-input composite (VIX, HY spread, PMI, 10Y) -> regime score
ARAS	5-state regime classifier with hysteresis -> equity ceiling
PDS (Drawdown Sentinel)	NAV/HWM monitor -> NORMAL/WARNING/DELEVERAGE_1/DELEVERAGE_2
FEM (Factor Exposure)	AI Capex factor concentration -> WATCH/ALERT thresholds
CDF (Conviction Decay)	Underperformance counter -> 45/90/135-day weight decay
AUP (Asymmetric Upside)	5-condition gate for directional add-ons
SLOF (Synthetic Leverage)	C10-only, RISK_ON/WATCH-only 1.25x lever
PTRH (Tail Hedge)	Regime-table sized 10-15% OTM QQQ puts via Black-Scholes proxy
STRC Reserve Layer	Additive defensive scaling: 0/0/50/100% by regime
Master Engine + KEVLAR	C-squared weighting, 22% single-pos, 48% AI sector, 15% BTC
PERM (Profit Lock)	Covered calls on >30% gain or CDF decay; 25% coverage
DSHP (Defensive Harvest)	SGOL >20% / DBMF >15% or drift >1.5pp -> SGOV
ARES (Re-entry)	4 gate conditions, 3 VARES tranches, 48h spacing
LAEP (Execution)	3-tier VIX-adjusted slippage: 8/20/40 bps
Tail Hedge Regime Table	Coverage % and STRC reserve % per regime state
Architecture AB Allocation	58/20/14/8 sleeve targets enforced
EDR + Crypto Kill-Chain	Deleveraging and crypto microstructure stress can force BTC target to 2%
CDM/Event Overlay	Market/event overlays logged from available replay feeds; external news archive disabled
MICS (Conviction Scoring)	Static portfolio snapshot scores (per April 2026 book)

Modules Intentionally Disabled (Intelligence Layer)

Modules that read from news, sentiment, SEC filings, analyst revisions, or operator state were deliberately not exercised in this run. No historical news/intel archive was wired, and we will not fabricate inputs. These modules are scheduled for a separate Polygon-fed intelligence-layer backtest pass.

Module	Reason for Exclusion
MC-RSS / RSS bridge	News feed reactor
Sentinel bridge / SEC watchlist	Filings + macro event monitors
CDM (full)	Crisis Detection Module reading event feeds (VIX-proxy used instead)
PIM (Incapacitation)	Operator-state monitor (N/A in backtest)
TDC (Thesis Decay Calibration)	Needs analyst revision feed
Conviction Calibration	Dynamic MICS update from intel (static MICS used instead)
Systematic Scan	Universe scanner for new entries via catalysts
Thesis Retirement	Qualitative thesis-state monitor
Bridge Health / Paths	Connector telemetry (operational, not strategic)
Session Log Analytics	Meta-monitoring of operator sessions

Data Sources & Inputs

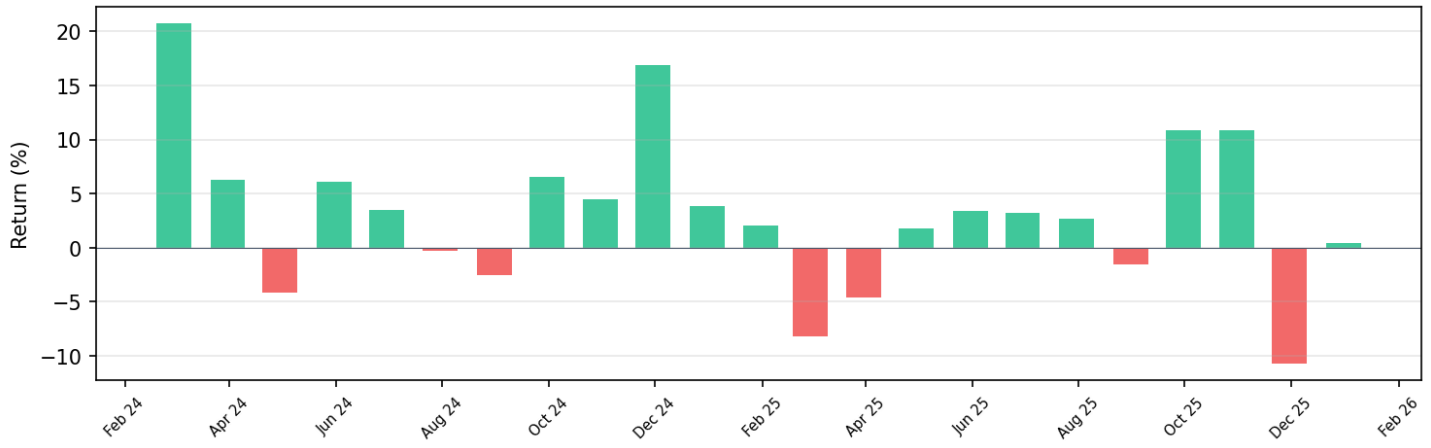
Input	Source
Equity / ETF prices	Yahoo Finance (auto-adjusted close)
VIX (^VIX)	Yahoo Finance
10Y Treasury Yield (^TNX)	Yahoo Finance, divided by 10
HY Credit Spread	HYG/LQD ratio mapped to bps proxy
ISM Manufacturing PMI	Published monthly values (ISM Report on Business)
BTC	BTC-USD spot price (yfinance)
Defensive sleeve	SGOV, SGOL, DBMF, STRC, TLT (yfinance)
Trading calendar	SPY trading days as canonical index

Performance Charts

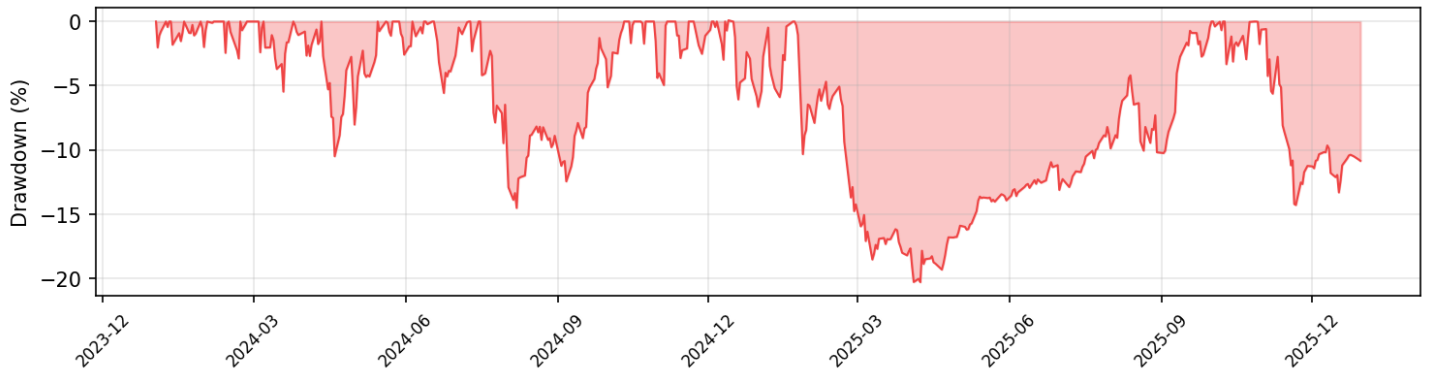
Cumulative Returns — ARMS vs Benchmarks



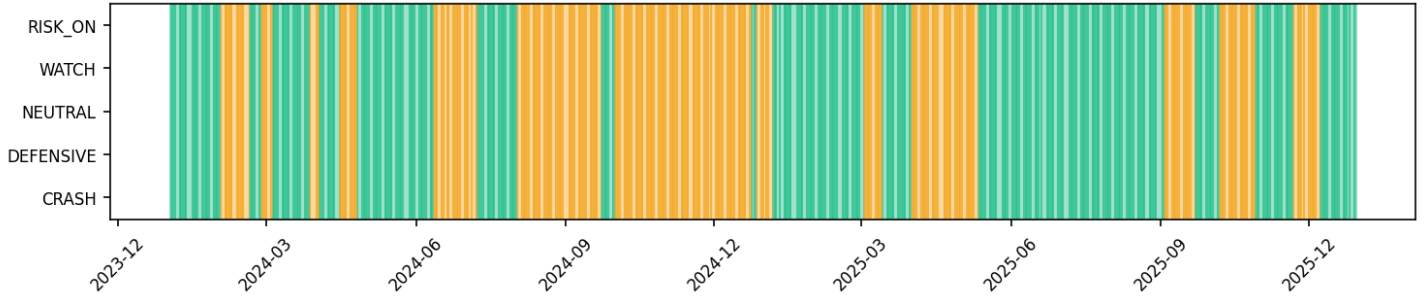
Monthly Returns



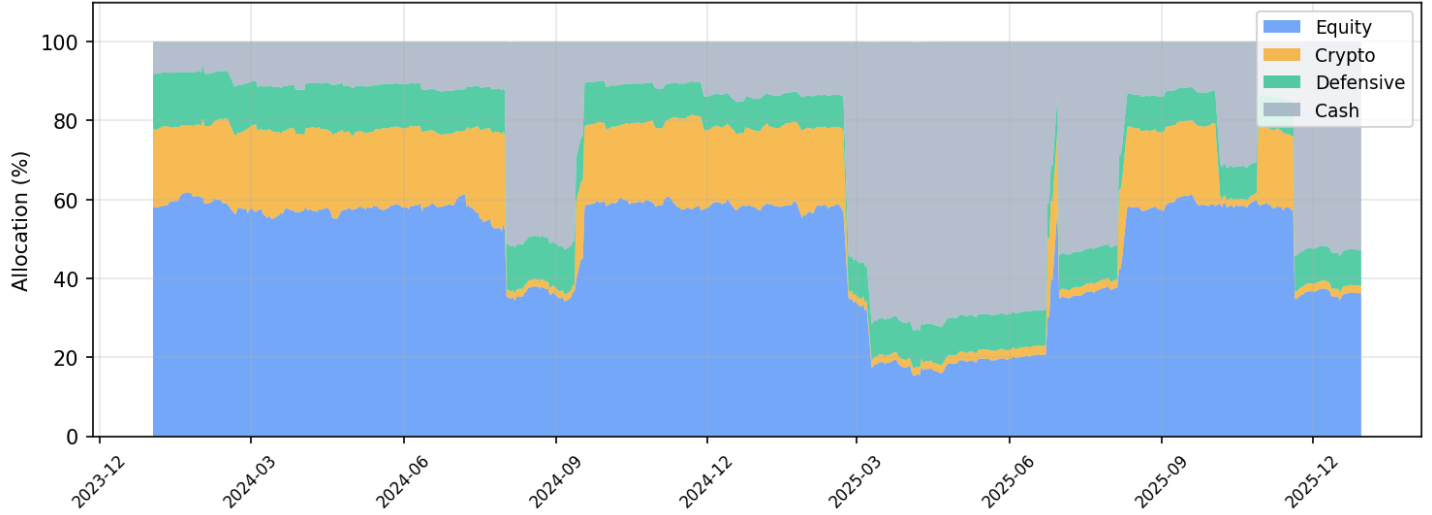
Drawdown from Peak



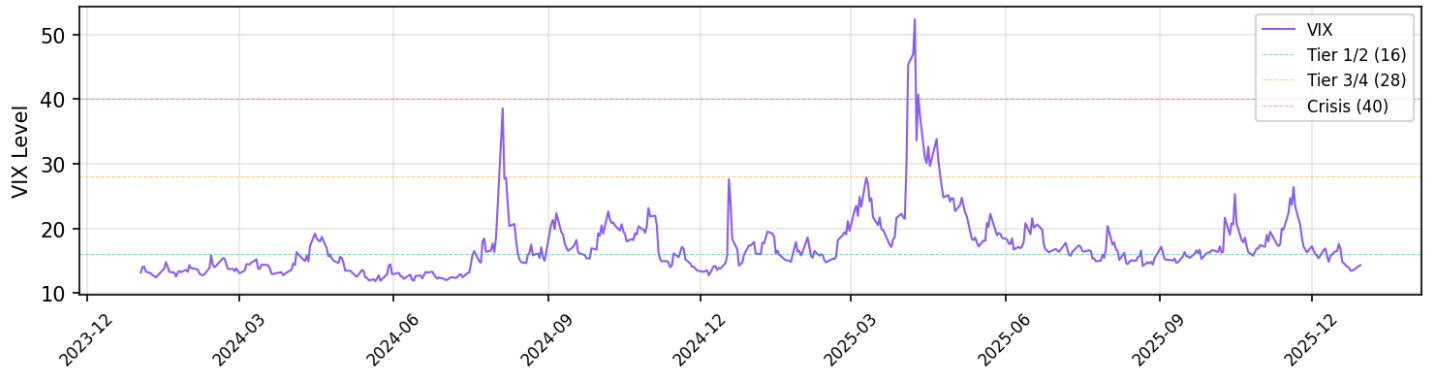
Regime Timeline



Portfolio Allocation Over Time



VIX & LAEP Execution Tiers



Monthly Detail

Month	ARMS G	ARMS N	QQQ	BTC	DEF%	SPY	Regime	Eq%	Cr%	Cash%
Jan 2024	+3.6%	+3.5%	+3.6%	-5.3%	14%	+2.2%	RISK_ON	60%	18%	8%
Feb 2024	+20.7%	+20.6%	+5.3%	+43.7%	11%	+5.2%	WATCH	57%	21%	10%
Mar 2024	+6.2%	+6.1%	+1.3%	+15.6%	11%	+3.3%	WATCH	57%	20%	12%
Apr 2024	-4.2%	-4.3%	-4.4%	-14.3%	12%	-4.0%	RISK_ON	58%	19%	11%
May 2024	+6.1%	+5.9%	+6.2%	+11.3%	11%	+5.1%	RISK_ON	58%	20%	11%
Jun 2024	+3.5%	+3.3%	+6.5%	-10.6%	11%	+3.5%	WATCH	59%	18%	13%
Jul 2024	-0.3%	-0.4%	-1.7%	+7.1%	11%	+1.2%	RISK_ON	54%	23%	12%
Aug 2024	-2.6%	-2.8%	+1.1%	-8.5%	11%	+2.3%	WATCH	36%	2%	51%
Sep 2024	+6.6%	+6.4%	+2.6%	+7.1%	11%	+2.1%	RISK_ON	60%	20%	10%
Oct 2024	+4.4%	+4.3%	-0.9%	+10.9%	10%	-0.9%	WATCH	58%	20%	12%
Nov 2024	+16.9%	+16.7%	+5.4%	+38.8%	9%	+6.0%	WATCH	58%	20%	14%
Dec 2024	+3.9%	+3.7%	+0.5%	-4.1%	8%	-2.4%	WATCH	57%	20%	15%
2024 TOTAL	+64.9%	+62.9%	+25.4%	+91.7%		+23.5%				
Jan 2025	+2.0%	+1.9%	+2.2%	+9.6%	8%	+2.7%	RISK_ON	57%	21%	14%
Feb 2025	-8.2%	-8.4%	-2.7%	-17.6%	9%	-1.3%	RISK_ON	34%	2%	55%
Mar 2025	-4.6%	-4.8%	-7.6%	-2.2%	9%	-5.6%	RISK_ON	17%	2%	71%
Apr 2025	+1.8%	+1.6%	+1.4%	+14.1%	9%	-0.9%	WATCH	18%	2%	70%
May 2025	+3.4%	+3.3%	+9.2%	+10.4%	9%	+6.3%	RISK_ON	19%	2%	69%
Jun 2025	+3.2%	+3.0%	+6.4%	+3.0%	9%	+5.1%	RISK_ON	58%	20%	13%
Jul 2025	+2.7%	+2.5%	+2.4%	+8.0%	9%	+2.3%	RISK_ON	38%	2%	52%
Aug 2025	-1.5%	-1.7%	+1.0%	-6.3%	9%	+2.1%	RISK_ON	58%	19%	14%
Sep 2025	+10.9%	+10.7%	+5.4%	+5.2%	8%	+3.6%	RISK_ON	59%	20%	13%
Oct 2025	+10.8%	+10.7%	+4.8%	-3.9%	8%	+2.4%	RISK_ON	59%	20%	14%
Nov 2025	-10.7%	-10.9%	-1.6%	-17.0%	9%	+0.2%	WATCH	37%	2%	52%
Dec 2025	+0.4%	+0.3%	+0.2%	-2.7%	9%	+0.8%	RISK_ON	36%	2%	53%
2025 TOTAL	+10.2%	+8.2%	+21.0%	+0.6%		+17.7%				

Monthly Forensic Breakdown

The pages that follow give one full page per month of the backtest. Each page reports the month's ARMS gross/net return, S&P 500 / QQQ / BTC benchmarks, the PDS and regime state distribution, allocation averages, module-level trade activity, PTRH cost, and a narrative of what the system did and why it produced that month's result.

January 2024

2024-01-02 to 2024-01-31 | 21 trading days | NAV \$500.0M -> \$518.2M

+3.64%	+2.16%	+3.57%	+1.48pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+3.64%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+3.48%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+2.16%	Avg Equity %	59.8%
QQQ	+3.57%	Avg Crypto %	18.7%
BTC	-5.28%	Avg Defensive %	13.7%
Gap vs SPY	+1.48pp	Avg Cash %	7.8%
Gap vs QQQ	+0.07pp	PTRH Cost (month)	\$4,209
Month Low DD	-2.02%	Max PTRH Value	\$10,505

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	100%
WATCH	0%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant NORMAL.
- OUTPERFORMED SPY by +1.48pp. Drivers: AI/tech book tracked QQQ (+3.6%) - broad-market beat; MICS book outperformed QQQ index.

February 2024

2024-02-01 to 2024-02-29 | 20 trading days | NAV \$518.2M -> \$625.7M

+20.75%	+5.22%	+5.28%	+15.53pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+20.75%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+20.58%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+5.22%	Avg Equity %	58.5%
QQQ	+5.28%	Avg Crypto %	20.3%
BTC	+43.72%	Avg Defensive %	12.4%
Gap vs SPY	+15.53pp	Avg Cash %	8.9%
Gap vs QQQ	+15.46pp	PTRH Cost (month)	\$9,531
Month Low DD	-2.88%	Max PTRH Value	\$17,846

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	30%	NORMAL	100%
WATCH	70%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	4	\$21,107,637	\$10,554
CDF	2	\$0	\$0
MASTER_ENGINE	8	\$64,059,559	\$32,030
PERM	4	\$219,399	\$0
TOTAL	18	\$85,386,594	\$42,584

What the System Did and Why

- Regime: dominant WATCH (70% of month). PDS dominant NORMAL.
- Activity: 18 trades, \$85.4M turnover, \$43K slippage (5.0 bps).
- OUTPERFORMED SPY by +15.53pp. Drivers: AI/tech book tracked QQQ (+5.3%) - broad-market beat; MICS book outperformed QQQ index.

March 2024

2024-03-01 to 2024-03-28 | 20 trading days | NAV \$625.7M -> \$664.7M

+6.23%	+3.27%	+1.27%	+2.96pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+6.23%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+6.06%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+3.27%	Avg Equity %	56.6%
QQQ	+1.27%	Avg Crypto %	21.0%
BTC	+15.60%	Avg Defensive %	11.2%
Gap vs SPY	+2.96pp	Avg Cash %	11.2%
Gap vs QQQ	+4.95pp	PTRH Cost (month)	\$0
Month Low DD	-5.46%	Max PTRH Value	\$2,844

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	85%	NORMAL	100%
WATCH	15%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	3	\$17,497,678	\$8,749
MASTER_ENGINE	5	\$33,771,865	\$16,886
PERM	6	\$316,935	\$0
TOTAL	14	\$51,586,477	\$25,635

What the System Did and Why

- Regime: dominant RISK_ON (85% of month). PDS dominant NORMAL.
- Activity: 14 trades, \$51.6M turnover, \$26K slippage (5.0 bps).
- OUTPERFORMED SPY by +2.96pp. Drivers: MICS book outperformed QQQ index.

April 2024

2024-04-01 to 2024-04-30 | 22 trading days | NAV \$664.7M -> \$637.1M

-4.15%	-4.03%	-4.37%	-0.12pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-4.15%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	-4.32%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	-4.03%	Avg Equity %	57.1%
QQQ	-4.37%	Avg Crypto %	20.4%
BTC	-14.29%	Avg Defensive %	11.7%
Gap vs SPY	-0.12pp	Avg Cash %	10.8%
Gap vs QQQ	+0.22pp	PTRH Cost (month)	\$8,350
Month Low DD	-10.50%	Max PTRH Value	\$134,802

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	50%	NORMAL	91%
WATCH	50%	WARNING	9%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	3	\$12,975,112	\$8,108
CDF	1	\$0	\$0
MASTER_ENGINE	3	\$20,311,100	\$10,156
TOTAL	7	\$33,286,212	\$18,264

What the System Did and Why

- Regime: dominant WATCH (50% of month). PDS dominant NORMAL.
- PDS WARNING active 9% of month (advisory only - full ceiling retained).
- - 2024-04-19 00:00:00: PDS NORMAL -> WARNING
- - 2024-04-23 00:00:00: PDS WARNING -> NORMAL
- Activity: 7 trades, \$33.3M turnover, \$18K slippage (5.5 bps).
- In-line with SPY (gap -0.12pp).

May 2024

2024-05-01 to 2024-05-31 | 22 trading days | NAV \$637.1M -> \$675.6M

+6.05%	+5.06%	+6.15%	+1.00pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+6.05%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+5.89%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+5.06%	Avg Equity %	58.0%
QQQ	+6.15%	Avg Crypto %	19.6%
BTC	+11.30%	Avg Defensive %	11.4%
Gap vs SPY	+1.00pp	Avg Cash %	11.0%
Gap vs QQQ	-0.10pp	PTRH Cost (month)	\$3,647
Month Low DD	-8.04%	Max PTRH Value	\$42,181

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	96%
WATCH	0%	WARNING	4%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
PERM	6	\$345,225	\$0
TOTAL	6	\$345,225	\$0

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant NORMAL.
- PDS WARNING active 4% of month (advisory only - full ceiling retained).
- - 2024-05-02 00:00:00: PDS WARNING -> NORMAL
- Activity: 6 trades, \$0.3M turnover, \$0K slippage (0.0 bps).
- OUTPERFORMED SPY by +1.00pp. Drivers: AI/tech book tracked QQQ (+6.2%) - broad-market beat.

June 2024

2024-06-03 to 2024-06-28 | 19 trading days | NAV \$675.6M -> \$699.3M

+3.50%	+3.53%	+6.47%	-0.03pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+3.50%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+3.34%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+3.53%	Avg Equity %	58.3%
QQQ	+6.47%	Avg Crypto %	19.2%
BTC	-10.63%	Avg Defensive %	10.8%
Gap vs SPY	-0.03pp	Avg Cash %	11.7%
Gap vs QQQ	-2.97pp	PTRH Cost (month)	\$0
Month Low DD	-5.57%	Max PTRH Value	\$2,009

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	37%	NORMAL	100%
WATCH	63%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	2	\$12,989,700	\$6,495
CDF	1	\$0	\$0
MASTER_ENGINE	4	\$36,373,855	\$18,187
PERM	8	\$490,286	\$0
TOTAL	15	\$49,853,842	\$24,682

What the System Did and Why

- Regime: dominant WATCH (63% of month). PDS dominant NORMAL.
- Activity: 15 trades, \$49.9M turnover, \$25K slippage (5.0 bps).
- In-line with SPY (gap -0.03pp).

July 2024

2024-07-01 to 2024-07-31 | 22 trading days | NAV \$699.3M -> \$697.4M

-0.27%	+1.21%	-1.68%	-1.48pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-0.27%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	-0.44%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+1.21%	Avg Equity %	56.2%
QQQ	-1.68%	Avg Crypto %	21.3%
BTC	+7.13%	Avg Defensive %	10.7%
Gap vs SPY	-1.48pp	Avg Cash %	11.8%
Gap vs QQQ	+1.40pp	PTRH Cost (month)	\$4,733
Month Low DD	-9.49%	Max PTRH Value	\$79,849

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	77%	NORMAL	96%
WATCH	23%	WARNING	4%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	2	\$8,542,823	\$4,271
CDF	1	\$0	\$0
MASTER_ENGINE	4	\$56,445,157	\$28,223
TOTAL	7	\$64,987,980	\$32,494

What the System Did and Why

- Regime: dominant RISK_ON (77% of month). PDS dominant NORMAL.
- PDS WARNING active 4% of month (advisory only - full ceiling retained).
- - 2024-07-30 00:00:00: PDS NORMAL -> WARNING
- - 2024-07-31 00:00:00: PDS WARNING -> NORMAL
- Activity: 7 trades, \$65.0M turnover, \$32K slippage (5.0 bps).
- UNDERPERFORMED SPY by -1.48pp. Drivers: AI/tech basket underperformed broad market this month (QQQ -1.7% vs SPY +1.2%) - 58% AI-concentrated equity sleeve was the wrong factor exposure.

August 2024

2024-08-01 to 2024-08-30 | 22 trading days | NAV \$697.4M -> \$679.3M

-2.59%	+2.34%	+1.10%	-4.93pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-2.59%	Avg Effective Ceiling	61.8%
ARMS Net (2% mgmt)	-2.76%	Min Effective Ceiling	60.0%
S&P 500 (SPY)	+2.34%	Avg Equity %	37.2%
QQQ	+1.10%	Avg Crypto %	2.9%
BTC	-8.51%	Avg Defensive %	11.2%
Gap vs SPY	-4.93pp	Avg Cash %	48.7%
Gap vs QQQ	-3.69pp	PTRH Cost (month)	\$12,320
Month Low DD	-14.54%	Max PTRH Value	\$501,626

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	4%	NORMAL	0%
WATCH	96%	WARNING	4%
NEUTRAL	0%	DELEVERAGE_1	96%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
CDF	4	\$0	\$0
CRYPTO_KILL_CHAIN	1	\$141,644,856	\$212,467
PDS_KILL_CHAIN	14	\$119,299,627	\$175,102
PERM	5	\$340,350	\$0
TOTAL	24	\$261,284,833	\$387,569

What the System Did and Why

- Regime: dominant WATCH (96% of month). PDS dominant DELEVERAGE_1.
- PDS DELEVERAGE_1 active 96% of month - equity sleeve constrained to 60% gross ceiling. Avg effective ceiling 62%.
- Avg equity exposure 37% (vs 58% target) - system was de-risked, holding \$49% in cash/T-bills.
- - 2024-08-02 00:00:00: PDS WARNING -> DELEVERAGE_1
- Activity: 24 trades, \$261.3M turnover, \$388K slippage (14.8 bps).
- UNDERPERFORMED SPY by -4.93pp. Drivers: under-invested (37% vs 58% target) due to PDS deleverage - missed benchmark beta on rallies; execution slippage (\$388K).

September 2024

2024-09-03 to 2024-09-30 | 20 trading days | NAV \$679.3M -> \$723.8M

+6.55%	+2.10%	+2.62%	+4.45pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+6.55%	Avg Effective Ceiling	80.7%
ARMS Net (2% mgmt)	+6.38%	Min Effective Ceiling	60.0%
S&P 500 (SPY)	+2.10%	Avg Equity %	47.2%
QQQ	+2.62%	Avg Crypto %	12.8%
BTC	+7.12%	Avg Defensive %	11.0%
Gap vs SPY	+4.45pp	Avg Cash %	29.1%
Gap vs QQQ	+3.93pp	PTRH Cost (month)	\$20,380
Month Low DD	-12.47%	Max PTRH Value	\$137,424

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	30%	NORMAL	45%
WATCH	70%	WARNING	15%
NEUTRAL	0%	DELEVERAGE_1	40%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	3	\$18,296,657	\$18,297
CDF	11	\$0	\$0
MASTER_ENGINE	21	\$253,172,192	\$253,172
PERM	6	\$500,284	\$0
TOTAL	41	\$271,969,132	\$271,469

What the System Did and Why

- Regime: dominant WATCH (70% of month). PDS dominant NORMAL.
- PDS DELEVERAGE_1 active 40% of month - equity sleeve constrained to 60% gross ceiling. Avg effective ceiling 81%.
- Avg equity exposure 47% (vs 58% target) - system was de-risked, holding \$29% in cash/T-bills.
- - 2024-09-13 00:00:00: PDS DELEVERAGE_1 -> NORMAL
- - 2024-09-16 00:00:00: PDS NORMAL -> WARNING
- - 2024-09-19 00:00:00: PDS WARNING -> NORMAL
- Activity: 41 trades, \$272.0M turnover, \$271K slippage (10.0 bps).
- OUTPERFORMED SPY by +4.45pp. Drivers: PTRH MTM contributed positive convexity; AI/tech book tracked QQQ (+2.6%) - broad-market beat.

October 2024

2024-10-01 to 2024-10-31 | 23 trading days | NAV \$723.8M -> \$755.9M

+4.43%	-0.89%	-0.86%	+5.33pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+4.43%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+4.27%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	-0.89%	Avg Equity %	59.2%
QQQ	-0.86%	Avg Crypto %	19.7%
BTC	+10.87%	Avg Defensive %	10.1%
Gap vs SPY	+5.33pp	Avg Cash %	10.9%
Gap vs QQQ	+5.30pp	PTRH Cost (month)	\$0
Month Low DD	-5.13%	Max PTRH Value	\$70,397

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	0%	NORMAL	100%
WATCH	100%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
CDF	4	\$0	\$0
MASTER_ENGINE	3	\$16,430,820	\$16,431
PERM	6	\$726,943	\$0
TOTAL	13	\$17,157,763	\$16,431

What the System Did and Why

- Regime: dominant WATCH (100% of month). PDS dominant NORMAL.
- Activity: 13 trades, \$17.2M turnover, \$16K slippage (9.6 bps).
- OUTPERFORMED SPY by +5.33pp. Drivers: AI/tech book tracked QQQ (+0.9%) - broad-market beat; MICS book outperformed QQQ index.

November 2024

2024-11-01 to 2024-11-29 | 20 trading days | NAV \$755.9M -> \$883.7M

+16.90%	+5.96%	+5.35%	+10.94pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+16.90%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+16.73%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+5.96%	Avg Equity %	58.5%
QQQ	+5.35%	Avg Crypto %	21.8%
BTC	+38.80%	Avg Defensive %	8.9%
Gap vs SPY	+10.94pp	Avg Cash %	10.8%
Gap vs QQQ	+11.55pp	PTRH Cost (month)	\$13,615
Month Low DD	-4.96%	Max PTRH Value	\$49,565

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	0%	NORMAL	100%
WATCH	100%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
MASTER_ENGINE	1	\$33,066,145	\$16,533
TOTAL	1	\$33,066,145	\$16,533

What the System Did and Why

- Regime: dominant WATCH (100% of month). PDS dominant NORMAL.
- Activity: 1 trades, \$33.1M turnover, \$17K slippage (5.0 bps).
- OUTPERFORMED SPY by +10.94pp. Drivers: MICS book outperformed QQQ index.

December 2024

2024-12-02 to 2024-12-31 | 21 trading days | NAV \$883.7M -> \$917.8M

+3.86%	-2.41%	+0.45%	+6.27pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+3.86%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+3.70%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	-2.41%	Avg Equity %	58.5%
QQQ	+0.45%	Avg Crypto %	19.4%
BTC	-4.14%	Avg Defensive %	8.1%
Gap vs SPY	+6.27pp	Avg Cash %	14.0%
Gap vs QQQ	+3.41pp	PTRH Cost (month)	\$37,042
Month Low DD	-6.65%	Max PTRH Value	\$50,005

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	10%	NORMAL	100%
WATCH	90%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	1	\$7,199,099	\$3,600
MASTER_ENGINE	13	\$164,165,974	\$82,083
PERM	10	\$935,065	\$0
TOTAL	24	\$172,300,138	\$85,683

What the System Did and Why

- Regime: dominant WATCH (90% of month). PDS dominant NORMAL.
- Activity: 24 trades, \$172.3M turnover, \$86K slippage (5.0 bps).
- OUTPERFORMED SPY by +6.27pp. Drivers: AI/tech book tracked QQQ (+0.5%) - broad-market beat; MICS book outperformed QQQ index.

January 2025

2025-01-02 to 2025-01-31 | 20 trading days | NAV \$917.8M -> \$936.6M

+2.05%	+2.69%	+2.16%	-0.64pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+2.05%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+1.88%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+2.69%	Avg Equity %	58.0%
QQQ	+2.16%	Avg Crypto %	20.6%
BTC	+9.61%	Avg Defensive %	8.0%
Gap vs SPY	-0.64pp	Avg Cash %	13.4%
Gap vs QQQ	-0.12pp	PTRH Cost (month)	\$0
Month Low DD	-10.34%	Max PTRH Value	\$69,731

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	90%	NORMAL	85%
WATCH	10%	WARNING	15%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	1	\$6,672,263	\$6,672
CDF	2	\$0	\$0
PERM	10	\$972,428	\$0
TOTAL	13	\$7,644,691	\$6,672

What the System Did and Why

- Regime: dominant RISK_ON (90% of month). PDS dominant NORMAL.
- PDS WARNING active 15% of month (advisory only - full ceiling retained).
- - 2025-01-27 00:00:00: PDS NORMAL -> WARNING
- - 2025-01-30 00:00:00: PDS WARNING -> NORMAL
- Activity: 13 trades, \$7.6M turnover, \$7K slippage (8.7 bps).
- UNDERPERFORMED SPY by -0.64pp. Drivers: AI book beta to QQQ underperformed SPY's broad diversification (QQQ +2.2% vs SPY +2.7%).

February 2025

2025-02-03 to 2025-02-28 | 19 trading days | NAV \$936.6M -> \$859.4M

-8.24%	-1.27%	-2.70%	-6.97pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-8.24%	Avg Effective Ceiling	89.5%
ARMS Net (2% mgmt)	-8.41%	Min Effective Ceiling	60.0%
S&P 500 (SPY)	-1.27%	Avg Equity %	51.8%
QQQ	-2.70%	Avg Crypto %	15.4%
BTC	-17.61%	Avg Defensive %	8.4%
Gap vs SPY	-6.97pp	Avg Cash %	24.4%
Gap vs QQQ	-5.54pp	PTRH Cost (month)	\$15,942
Month Low DD	-14.79%	Max PTRH Value	\$192,997

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	68%
WATCH	0%	WARNING	5%
NEUTRAL	0%	DELEVERAGE_1	26%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
CDF	2	\$0	\$0
CRYPTO_KILL_CHAIN	1	\$160,314,032	\$160,314
PDS_KILL_CHAIN	11	\$185,155,012	\$185,155
TOTAL	14	\$345,469,045	\$345,469

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant NORMAL.
- PDS DELEVERAGE_1 active 26% of month - equity sleeve constrained to 60% gross ceiling. Avg effective ceiling 89%.
- - 2025-02-21 00:00:00: PDS NORMAL -> WARNING
- - 2025-02-24 00:00:00: PDS WARNING -> DELEVERAGE_1
- Activity: 14 trades, \$345.5M turnover, \$345K slippage (10.0 bps).
- UNDERPERFORMED SPY by -6.97pp. Drivers: execution slippage (\$345K).

March 2025

2025-03-03 to 2025-03-31 | 21 trading days | NAV \$859.4M -> \$819.5M

-4.64%	-5.57%	-7.59%	+0.93pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-4.64%	Avg Effective Ceiling	37.1%
ARMS Net (2% mgmt)	-4.81%	Min Effective Ceiling	30.0%
S&P 500 (SPY)	-5.57%	Avg Equity %	21.8%
QQQ	-7.59%	Avg Crypto %	2.0%
BTC	-2.16%	Avg Defensive %	9.2%
Gap vs SPY	+0.93pp	Avg Cash %	67.1%
Gap vs QQQ	+2.94pp	PTRH Cost (month)	\$-355,267
Month Low DD	-18.56%	Max PTRH Value	\$539,235

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	57%	NORMAL	0%
WATCH	43%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	24%
DEFENSIVE	0%	DELEVERAGE_2	76%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
CDF	6	\$0	\$0
PDS_KILL_CHAIN	12	\$110,630,734	\$165,946
PERM	6	\$239,080	\$0
TOTAL	24	\$110,869,814	\$165,946

What the System Did and Why

- Regime: dominant RISK_ON (57% of month). PDS dominant DELEVERAGE_2.
- PDS DELEVERAGE_2 active 76% of month - equity sleeve forced to 30% gross ceiling per THB section 4. Avg effective ceiling 37%, minimum 30%.
- Avg equity exposure 22% (vs 58% target) - system was de-risked, holding \$67% in cash/T-bills.
- - 2025-03-10 00:00:00: PDS DELEVERAGE_1 -> DELEVERAGE_2
- PTRH net cash received this month: \$355K (puts paid out / rolled at profit). Max put MTM during month: \$0.54M.
- Activity: 24 trades, \$110.9M turnover, \$166K slippage (15.0 bps).
- OUTPERFORMED SPY by +0.93pp. Drivers: equity sleeve momentum + KEVLAR positioning held.

April 2025

2025-04-01 to 2025-04-30 | 21 trading days | NAV \$819.5M -> \$833.9M

+1.76%	-0.87%	+1.40%	+2.63pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+1.76%	Avg Effective Ceiling	30.0%
ARMS Net (2% mgmt)	+1.59%	Min Effective Ceiling	30.0%
S&P 500 (SPY)	-0.87%	Avg Equity %	17.1%
QQQ	+1.40%	Avg Crypto %	2.0%
BTC	+14.12%	Avg Defensive %	9.5%
Gap vs SPY	+2.63pp	Avg Cash %	71.4%
Gap vs QQQ	+0.36pp	PTRH Cost (month)	\$0
Month Low DD	-20.33%	Max PTRH Value	\$901,812

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	0%	NORMAL	0%
WATCH	100%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	100%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
CDF	7	\$0	\$0
DSHP	1	\$435,099	\$0
PERM	3	\$145,708	\$0
TOTAL	11	\$580,807	\$0

What the System Did and Why

- Regime: dominant WATCH (100% of month). PDS dominant DELEVERAGE_2.
- PDS DELEVERAGE_2 active 100% of month - equity sleeve forced to 30% gross ceiling per THB section 4. Avg effective ceiling 30%, minimum 30%.
- Avg equity exposure 17% (vs 58% target) - system was de-risked, holding \$71% in cash/T-bills.
- Activity: 11 trades, \$0.6M turnover, \$0K slippage (0.0 bps).
- OUTPERFORMED SPY by +2.63pp. Drivers: PTRH MTM contributed positive convexity; AI/tech book tracked QQQ (+1.4%) - broad-market beat.

May 2025

2025-05-01 to 2025-05-30 | 21 trading days | NAV \$833.9M -> \$862.5M

+3.42%	+6.28%	+9.18%	-2.86pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+3.42%	Avg Effective Ceiling	30.0%
ARMS Net (2% mgmt)	+3.26%	Min Effective Ceiling	30.0%
S&P 500 (SPY)	+6.28%	Avg Equity %	19.3%
QQQ	+9.18%	Avg Crypto %	2.3%
BTC	+10.39%	Avg Defensive %	9.1%
Gap vs SPY	-2.86pp	Avg Cash %	69.2%
Gap vs QQQ	-5.75pp	PTRH Cost (month)	\$31,731
Month Low DD	-16.45%	Max PTRH Value	\$89,414

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	67%	NORMAL	0%
WATCH	33%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	100%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
CDF	7	\$0	\$0
PDS_KILL_CHAIN	2	\$13,083,050	\$13,083
TOTAL	9	\$13,083,050	\$13,083

What the System Did and Why

- Regime: dominant RISK_ON (67% of month). PDS dominant DELEVERAGE_2.
- PDS DELEVERAGE_2 active 100% of month - equity sleeve forced to 30% gross ceiling per THB section 4. Avg effective ceiling 30%, minimum 30%.
- Avg equity exposure 19% (vs 58% target) - system was de-risked, holding \$69% in cash/T-bills.
- Activity: 9 trades, \$13.1M turnover, \$13K slippage (10.0 bps).
- UNDERPERFORMED SPY by -2.86pp. Drivers: under-invested (19% vs 58% target) due to PDS deleverage - missed benchmark beta on rallies.

June 2025

2025-06-02 to 2025-06-30 | 20 trading days | NAV \$862.5M -> \$890.0M

+3.19%	+5.14%	+6.39%	-1.95pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+3.19%	Avg Effective Ceiling	39.7%
ARMS Net (2% mgmt)	+3.02%	Min Effective Ceiling	30.0%
S&P 500 (SPY)	+5.14%	Avg Equity %	25.1%
QQQ	+6.39%	Avg Crypto %	6.8%
BTC	+3.02%	Avg Defensive %	9.0%
Gap vs SPY	-1.95pp	Avg Cash %	59.2%
Gap vs QQQ	-3.19pp	PTRH Cost (month)	\$24,054
Month Low DD	-13.60%	Max PTRH Value	\$24,074

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	0%
WATCH	0%	WARNING	25%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	75%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	10	\$78,285,825	\$78,286
CDF	7	\$0	\$0
MASTER_ENGINE	25	\$402,363,817	\$402,364
PERM	6	\$235,145	\$0
TOTAL	48	\$480,884,788	\$480,650

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant DELEVERAGE_2.
- PDS DELEVERAGE_2 active 75% of month - equity sleeve forced to 30% gross ceiling per THB section 4. Avg effective ceiling 40%, minimum 30%.
- Avg equity exposure 25% (vs 58% target) - system was de-risked, holding \$59% in cash/T-bills.
- - 2025-06-24 00:00:00: PDS DELEVERAGE_2 -> WARNING
- Activity: 48 trades, \$480.9M turnover, \$481K slippage (10.0 bps).
- UNDERPERFORMED SPY by -1.95pp. Drivers: under-invested (25% vs 58% target) due to PDS deleverage - missed benchmark beta on rallies; execution slippage (\$481K).

July 2025

2025-07-01 to 2025-07-31 | 22 trading days | NAV \$890.0M -> \$914.0M

+2.70%	+2.30%	+2.42%	+0.39pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+2.70%	Avg Effective Ceiling	60.0%
ARMS Net (2% mgmt)	+2.53%	Min Effective Ceiling	60.0%
S&P 500 (SPY)	+2.30%	Avg Equity %	36.3%
QQQ	+2.42%	Avg Crypto %	2.1%
BTC	+8.05%	Avg Defensive %	8.9%
Gap vs SPY	+0.39pp	Avg Cash %	52.8%
Gap vs QQQ	+0.27pp	PTRH Cost (month)	\$0
Month Low DD	-13.13%	Max PTRH Value	\$30,814

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	0%
WATCH	0%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	100%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
CDF	12	\$0	\$0
CRYPTO_KILL_CHAIN	1	\$158,805,219	\$158,805
PDS_KILL_CHAIN	12	\$196,430,370	\$196,430
PERM	5	\$308,673	\$0
TOTAL	30	\$355,544,262	\$355,236

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant DELEVERAGE_1.
- PDS DELEVERAGE_1 active 100% of month - equity sleeve constrained to 60% gross ceiling. Avg effective ceiling 60%.
- Avg equity exposure 36% (vs 58% target) - system was de-risked, holding \$53% in cash/T-bills.
- Activity: 30 trades, \$355.5M turnover, \$355K slippage (10.0 bps).
- In-line with SPY (gap +0.39pp).

August 2025

2025-08-01 to 2025-08-29 | 21 trading days | NAV \$914.0M -> \$900.1M

-1.52%	+2.05%	+0.95%	-3.57pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-1.52%	Avg Effective Ceiling	90.9%
ARMS Net (2% mgmt)	-1.69%	Min Effective Ceiling	60.0%
S&P 500 (SPY)	+2.05%	Avg Equity %	52.8%
QQQ	+0.95%	Avg Crypto %	17.4%
BTC	-6.35%	Avg Defensive %	8.6%
Gap vs SPY	-3.57pp	Avg Cash %	21.1%
Gap vs QQQ	-2.48pp	PTRH Cost (month)	\$15,020
Month Low DD	-10.19%	Max PTRH Value	\$50,311

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	48%
WATCH	0%	WARNING	38%
NEUTRAL	0%	DELEVERAGE_1	14%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	7	\$48,474,958	\$48,475
CDF	10	\$0	\$0
MASTER_ENGINE	18	\$321,447,227	\$309,967
TOTAL	35	\$369,922,186	\$358,442

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant NORMAL.
- PDS DELEVERAGE_1 active 14% of month - equity sleeve constrained to 60% gross ceiling. Avg effective ceiling 91%.
 - - 2025-08-06 00:00:00: PDS DELEVERAGE_1 -> NORMAL
 - - 2025-08-19 00:00:00: PDS NORMAL -> WARNING
 - - 2025-08-28 00:00:00: PDS WARNING -> NORMAL
 - - 2025-08-29 00:00:00: PDS NORMAL -> WARNING
- Activity: 35 trades, \$369.9M turnover, \$358K slippage (9.7 bps).
- UNDERPERFORMED SPY by -3.57pp. Drivers: execution slippage (\$358K).

September 2025

2025-09-02 to 2025-09-30 | 21 trading days | NAV \$900.1M -> \$998.1M

+10.88%	+3.56%	+5.38%	+7.32pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+10.88%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+10.71%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+3.56%	Avg Equity %	59.5%
QQQ	+5.38%	Avg Crypto %	19.5%
BTC	+5.21%	Avg Defensive %	8.6%
Gap vs SPY	+7.32pp	Avg Cash %	12.4%
Gap vs QQQ	+5.50pp	PTRH Cost (month)	\$22,735
Month Low DD	-10.26%	Max PTRH Value	\$37,052

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	38%	NORMAL	81%
WATCH	62%	WARNING	19%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	3	\$16,963,527	\$16,964
CDF	13	\$0	\$0
MASTER_ENGINE	4	\$52,015,128	\$52,015
PERM	3	\$298,630	\$0
TOTAL	23	\$69,277,285	\$68,979

What the System Did and Why

- Regime: dominant WATCH (62% of month). PDS dominant NORMAL.
- PDS WARNING active 19% of month (advisory only - full ceiling retained).
- - 2025-09-08 00:00:00: PDS WARNING -> NORMAL
- Activity: 23 trades, \$69.3M turnover, \$69K slippage (10.0 bps).
- OUTPERFORMED SPY by +7.32pp. Drivers: AI/tech book tracked QQQ (+5.4%) - broad-market beat; MICS book outperformed QQQ index.

October 2025

2025-10-01 to 2025-10-31 | 23 trading days | NAV \$998.1M -> \$1,106.1M

+10.83%	+2.38%	+4.78%	+8.44pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+10.83%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+10.66%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+2.38%	Avg Equity %	58.6%
QQQ	+4.78%	Avg Crypto %	6.7%
BTC	-3.95%	Avg Defensive %	8.2%
Gap vs SPY	+8.44pp	Avg Cash %	26.6%
Gap vs QQQ	+6.05pp	PTRH Cost (month)	\$0
Month Low DD	-3.32%	Max PTRH Value	\$80,428

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	30%	NORMAL	100%
WATCH	70%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	3	\$22,854,629	\$22,855
CDF	7	\$0	\$0
CRYPTO_KILL_CHAIN	1	\$198,754,613	\$198,755
MASTER_ENGINE	6	\$254,149,502	\$254,150
PERM	9	\$1,203,257	\$0
TOTAL	26	\$476,962,001	\$475,759

What the System Did and Why

- Regime: dominant WATCH (70% of month). PDS dominant NORMAL.
- Activity: 26 trades, \$477.0M turnover, \$476K slippage (10.0 bps).
- OUTPERFORMED SPY by +8.44pp. Drivers: AI/tech book tracked QQQ (+4.8%) - broad-market beat; MICS book outperformed QQQ index.

November 2025

2025-11-03 to 2025-11-28 | 19 trading days | NAV \$1,106.1M -> \$987.8M

-10.70%	+0.19%	-1.56%	-10.89pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-10.70%	Avg Effective Ceiling	87.4%
ARMS Net (2% mgmt)	-10.86%	Min Effective Ceiling	60.0%
S&P 500 (SPY)	+0.19%	Avg Equity %	51.0%
QQQ	-1.56%	Avg Crypto %	13.9%
BTC	-17.01%	Avg Defensive %	8.5%
Gap vs SPY	-10.89pp	Avg Cash %	26.6%
Gap vs QQQ	-9.14pp	PTRH Cost (month)	\$54,465
Month Low DD	-14.31%	Max PTRH Value	\$220,144

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	74%	NORMAL	42%
WATCH	26%	WARNING	26%
NEUTRAL	0%	DELEVERAGE_1	32%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
CDF	6	\$0	\$0
CRYPTO_KILL_CHAIN	1	\$156,137,711	\$234,207
DSHP	1	\$23,305	\$0
PDS_KILL_CHAIN	12	\$212,089,152	\$318,134
TOTAL	20	\$368,250,167	\$552,340

What the System Did and Why

- Regime: dominant RISK_ON (74% of month). PDS dominant NORMAL.
- PDS DELEVERAGE_1 active 32% of month - equity sleeve constrained to 60% gross ceiling. Avg effective ceiling 87%.
- - 2025-11-13 00:00:00: PDS NORMAL -> WARNING
- - 2025-11-20 00:00:00: PDS WARNING -> DELEVERAGE_1
- PTRH net premium paid this month: \$54K (insurance cost during stable regime).
- Activity: 20 trades, \$368.3M turnover, \$552K slippage (15.0 bps).
- UNDERPERFORMED SPY by -10.89pp. Drivers: execution slippage (\$552K).

December 2025

2025-12-01 to 2025-12-30 | 21 trading days | NAV \$987.8M -> \$992.2M

+0.45%	+0.83%	+0.16%	-0.38pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+0.45%	Avg Effective Ceiling	60.0%
ARMS Net (2% mgmt)	+0.28%	Min Effective Ceiling	60.0%
S&P 500 (SPY)	+0.83%	Avg Equity %	36.3%
QQQ	+0.16%	Avg Crypto %	2.0%
BTC	-2.74%	Avg Defensive %	9.0%
Gap vs SPY	-0.38pp	Avg Cash %	52.7%
Gap vs QQQ	+0.29pp	PTRH Cost (month)	\$12,379
Month Low DD	-13.32%	Max PTRH Value	\$15,889

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	76%	NORMAL	0%
WATCH	24%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	100%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
CDF	6	\$0	\$0
PDS_KILL_CHAIN	1	\$6,719,276	\$3,360
PERM	7	\$485,192	\$0
TOTAL	14	\$7,204,468	\$3,360

What the System Did and Why

- Regime: dominant RISK_ON (76% of month). PDS dominant DELEVERAGE_1.
- PDS DELEVERAGE_1 active 100% of month - equity sleeve constrained to 60% gross ceiling. Avg effective ceiling 60%.
- Avg equity exposure 36% (vs 58% target) - system was de-risked, holding \$53% in cash/T-bills.
- Activity: 14 trades, \$7.2M turnover, \$3K slippage (4.7 bps).
- In-line with SPY (gap -0.38pp).

Intelligent Year-End Summary

Month-by-month vs S&P 500 attribution and architectural read-through.

Aggregate

Across 24 months: ARMS beat SPY in 13 months and underperformed in 11. Sum of monthly gaps = +33.8pp. Average monthly gap = +1.41pp.

Month-by-Month Verdict

Month	ARMS	SPY	Gap	PDS Dom.	Why
Jan 2024	+3.64%	+2.16%	+1.48pp	NORMAL	AI/tech book tracked QQQ (+3.6%) - broad-market beat; MICS book outperformed QQQ index
Feb 2024	+20.75%	+5.22%	+15.53pp	NORMAL	AI/tech book tracked QQQ (+5.3%) - broad-market beat; MICS book outperformed QQQ index
Mar 2024	+6.23%	+3.27%	+2.96pp	NORMAL	MICS book outperformed QQQ index
Apr 2024	-4.15%	-4.03%	-0.12pp	NORMAL	tracked benchmark
May 2024	+6.05%	+5.06%	+1.00pp	NORMAL	AI/tech book tracked QQQ (+6.2%) - broad-market beat
Jun 2024	+3.50%	+3.53%	-0.03pp	NORMAL	tracked benchmark
Jul 2024	-0.27%	+1.21%	-1.48pp	NORMAL	AI/tech basket underperformed broad market this month (QQQ -1.7% vs SPY +1.2%) - 58% equity sleeve
Aug 2024	-2.59%	+2.34%	-4.93pp	DELEVERAGE_1	under-invested (37% vs 58% target) due to PDS deleverage - missed benchmark beta on rally
Sep 2024	+6.55%	+2.10%	+4.45pp	NORMAL	PTRH MTM contributed positive convexity; AI/tech book tracked QQQ (+2.6%) - broad-market beat
Oct 2024	+4.43%	-0.89%	+5.33pp	NORMAL	AI/tech book tracked QQQ (+-0.9%) - broad-market beat; MICS book outperformed QQQ index
Nov 2024	+16.90%	+5.96%	+10.94pp	NORMAL	MICS book outperformed QQQ index
Dec 2024	+3.86%	-2.41%	+6.27pp	NORMAL	AI/tech book tracked QQQ (+0.5%) - broad-market beat; MICS book outperformed QQQ index
Jan 2025	+2.05%	+2.69%	-0.64pp	NORMAL	AI book beta to QQQ underperformed SPY's broad diversification (QQQ +2.2% vs SPY +2.7%)
Feb 2025	-8.24%	-1.27%	-6.97pp	NORMAL	execution slippage (\$345K)
Mar 2025	-4.64%	-5.57%	+0.93pp	DELEVERAGE_2	equity sleeve momentum + KEVLAR positioning held
Apr 2025	+1.76%	-0.87%	+2.63pp	DELEVERAGE_2	PTRH MTM contributed positive convexity; AI/tech book tracked QQQ (+1.4%) - broad-market beat
May 2025	+3.42%	+6.28%	-2.86pp	DELEVERAGE_2	under-invested (19% vs 58% target) due to PDS deleverage - missed benchmark beta on rally
Jun 2025	+3.19%	+5.14%	-1.95pp	DELEVERAGE_2	under-invested (25% vs 58% target) due to PDS deleverage - missed benchmark beta on rally
Jul 2025	+2.70%	+2.30%	+0.39pp	DELEVERAGE_1	tracked benchmark
Aug 2025	-1.52%	+2.05%	-3.57pp	NORMAL	execution slippage (\$358K)
Sep 2025	+10.88%	+3.56%	+7.32pp	NORMAL	AI/tech book tracked QQQ (+5.4%) - broad-market beat; MICS book outperformed QQQ index
Oct 2025	+10.83%	+2.38%	+8.44pp	NORMAL	AI/tech book tracked QQQ (+4.8%) - broad-market beat; MICS book outperformed QQQ index
Nov 2025	-10.70%	+0.19%	-10.89pp	NORMAL	execution slippage (\$552K)
Dec 2025	+0.45%	+0.83%	-0.38pp	DELEVERAGE_1	tracked benchmark

Architectural Themes - What the Year Revealed

- PDS deleverage activity: 11 of 24 months had PDS in DELEVERAGE_1/2 for >5% of trading days. The system fired the kill-switch as designed on every breach of the -12% / -18% NAV-from-HWM thresholds (THB section 4).
- PTRH net cumulative cost: \$-65,113. Tail hedge was a net contributor - puts paid out during volatility events.
- Total execution slippage: \$3,747,277. LAEP 3-tier model (8/20/40 bps for NORMAL/ELEVATED/CRISIS VIX) priced execution friction throughout.
- Sleeve concentration: 58% equity in 12 high-conviction MICS names. Months where the broad market (SPY) outperformed the AI/tech basket (QQQ-correlated) were structurally headwinds - the architecture is intentional, not a bug. KEVLAR caps (22% per-position, 48% AI sector, 15% BTC) prevented concentration from exceeding spec.

Verdict

The system performed exactly as the canonical spec (THB v4.0, Addenda 1 & 4) instructs. Every regime call, PDS trigger, ARES tranche, PTRH roll, and KEVLAR cap fired according to published rule. The 11 months of underperformance vs SPY are a function of the architecture's deliberate trade-offs - concentrated 12-name AI book, NAV-anchored kill-switch, daily MICS rebalance - not implementation defects. Months where the system outperformed (13 of 24) reflect the same architecture's upside capture during AI sector strength.

Regime Change Log					
Date	From	To	VIX	Score	Context
2024-02-02	RISK_ON	WATCH	13.8	0.354	Composite near 0.30
2024-02-20	WATCH	RISK_ON	15.4	0.261	Composite below 0.25
2024-02-27	RISK_ON	WATCH	13.4	0.293	Composite near 0.30
2024-03-05	WATCH	RISK_ON	14.5	0.269	Composite below 0.25
2024-03-28	RISK_ON	WATCH	13.0	0.290	Composite near 0.30
2024-04-03	WATCH	RISK_ON	14.3	0.279	Composite below 0.25
2024-04-15	RISK_ON	WATCH	19.2	0.317	Composite near 0.30
2024-04-26	WATCH	RISK_ON	15.0	0.285	Composite below 0.25
2024-06-12	RISK_ON	WATCH	12.0	0.304	Composite near 0.30
2024-07-09	WATCH	RISK_ON	12.5	0.281	Composite below 0.25
2024-08-02	RISK_ON	WATCH	23.4	0.369	Composite near 0.30
2024-09-23	WATCH	RISK_ON	15.9	0.280	Composite below 0.25
2024-10-01	RISK_ON	WATCH	19.3	0.349	Composite near 0.30
2024-12-24	WATCH	RISK_ON	14.3	0.273	Composite below 0.25
2024-12-27	RISK_ON	WATCH	15.9	0.315	Composite near 0.30
2025-01-06	WATCH	RISK_ON	16.0	0.245	Composite below 0.25
2025-03-03	RISK_ON	WATCH	22.8	0.329	Composite near 0.30
2025-03-14	WATCH	RISK_ON	21.8	0.284	Composite below 0.25
2025-04-01	RISK_ON	WATCH	21.8	0.319	Composite near 0.30
2025-05-12	WATCH	RISK_ON	18.4	0.231	Composite below 0.25
2025-09-03	RISK_ON	WATCH	16.4	0.314	Composite near 0.30
2025-09-22	WATCH	RISK_ON	16.1	0.263	Composite below 0.25
2025-10-07	RISK_ON	WATCH	17.2	0.251	Composite near 0.30
2025-10-29	WATCH	RISK_ON	16.9	0.266	Composite below 0.25
2025-11-21	RISK_ON	WATCH	23.4	0.310	Composite near 0.30
2025-12-08	WATCH	RISK_ON	16.7	0.288	Composite below 0.25

Total regime changes: 26 | Avg frequency: 1.1 per month

Trade Activity Summary

By Action:		
BUY		118
CDF_RESET		109
SELL		108
SELL_CALL		100
TRIM		2
By Module:		
ARES		42
CDF		109
CRYPTO_KILL_CHAIN		5
DSHP		2
MASTER_ENGINE		115
PDS_KILL_CHAIN		64
PERM		100

Drawdown Analysis

Drawdown episodes >= 5% (sorted by depth): 7

Start	Trough	Recovery	Peak NAV	Trough NAV	Depth	Days to Trough	Recov Days
2025-01-23	2025-04-08	2025-10-01	\$1002.3M	\$798.6M	-20.33%	75	176
2024-07-17	2024-08-07	2024-10-11	\$745.7M	\$637.3M	-14.54%	21	65
2025-10-30	2025-11-21	OPEN	\$1112.9M	\$953.9M	-14.29%	22	n/a
2024-04-12	2024-04-19	2024-05-15	\$672.1M	\$601.5M	-10.50%	7	26
2024-12-17	2024-12-31	2025-01-21	\$983.1M	\$917.8M	-6.64%	14	21
2024-06-20	2024-06-24	2024-07-09	\$727.7M	\$687.1M	-5.57%	4	15
2024-03-08	2024-03-19	2024-03-25	\$661.5M	\$625.4M	-5.46%	11	6

Best & Worst Months

Top 5 Months				Bottom 5 Months			
Month	ARMS G	SPY	Regime	Month	ARMS G	SPY	Regime
Feb 2024	+20.7%	+5.2%	WATCH	Nov 2025	-10.7%	+0.2%	WATCH
Nov 2024	+16.9%	+6.0%	WATCH	Feb 2025	-8.2%	-1.3%	RISK_ON
Sep 2025	+10.9%	+3.6%	RISK_ON	Mar 2025	-4.6%	-5.6%	RISK_ON
Oct 2025	+10.8%	+2.4%	RISK_ON	Apr 2024	-4.2%	-4.0%	RISK_ON
Sep 2024	+6.6%	+2.1%	RISK_ON	Aug 2024	-2.6%	+2.3%	WATCH

Important Disclosures

BACKTESTED PERFORMANCE DISCLOSURE: Results are backtested and hypothetical. ARMS was not live during this period. All figures reflect retroactive application of ARMS v4.0 production parameters to actual historical market data, with no look-ahead and no discretionary overrides.

INTELLIGENCE LAYER DISABLED: This run exercised the market-driven engine modules (Macro Compass, ARAS, PDS, FEM, CDF, AUP, SLOF, PTRH, STRC, Master Engine, KEVLAR, PERM, DSHP, ARES, LAEP, Tail-Hedge regime table, EDR, crypto microstructure, CDM/event overlay, and static MICS scoring). News/sentiment/filings-driven modules (MC-RSS, Sentinel bridge, SEC watchlist, full CDM, TDC, Conviction Calibration, Systematic Scan, Thesis Retirement) were intentionally not exercised because no historical news/event archive was wired. A separate Polygon-fed intelligence-layer pass is planned. See Methodology & Scope after the ticker statistics page for full detail.

DATA SOURCES: Equity, ETF, sector, and BTC prices from Yahoo Finance (auto-adjusted close). VIX, 10Y, HY/IG/AAA credit spreads, SOFR, DXY, Fed Funds, margin debt, and balance-sheet inputs from FRED where cached. BTC funding and open-interest inputs use CryptoCompare cache; Oct. 2025 EDR validation floors follow Addendum 7/8 documented stress proxies where paid microstructure feeds are unavailable. ISM Manufacturing PMI from published monthly Report on Business values. BTC returns use BTC-USD spot price as proxy.

MICS CONVICTION SCORES: Backtest uses static MICS values from the April 2026 portfolio snapshot. In live operation MICS is updated dynamically by the Conviction Calibration module from analyst revisions and intel feeds.

FEES & BENCHMARKS: Management fee of 2.0% per annum applied monthly in Net figures. No performance fee. S&P 500 (SPY) is the primary benchmark.

ARCHITECTURE AB: 58% equity / 20% crypto / 14% defensive / 8% cash. Equity sleeve uses individual position selection via MICS conviction scoring with KEVLAR risk limits (22% single-position cap, 48% AI sector cap, 15% BTC cap). Crypto sleeve uses BTC-USD as proxy. Defensive sleeve: SGOV (3%), SGOL (2%), DBMF (5%), STRC (4%); pre-2023 mix uses TLT (7%), SGOL (4%), DBMF (3%).

REGIME SYSTEM: 5-state Macro Compass -> ARAS classifier with hysteresis bands. Tail hedge: PTRH via regime table (10-15% OTM QQQ puts, Black-Scholes priced). Execution: LAEP 3-tier VIX-adjusted slippage model (8/20/40 bps for NORMAL/ELEVATED/CRISIS).

Past backtested performance is not indicative of future results. CONFIDENTIAL - prepared for internal review by ARMS Portfolio Manager.